



MBA Financial & Management Accounting

Topic 3: Regulation, Principles & Quality of Financial Statements

3.1 Regulatory Framework

3.2 FAR Principles

3.3 Qualities of Useful financial Information

The Regulatory Framework: Purpose & Overview

The regulatory framework of the accounting profession encompasses the laws, accounting standards, professional rules, regulatory institutions, and other requirements that govern how accountants and organizations prepare, present, audit, and disclose financial information.

Reliable Reporting

Promote reliable, transparent, comparable, and high-quality financial reporting across entities and jurisdictions.

Investor Protection

Protect investors and other users of financial information by ensuring they receive accurate and timely disclosures.

Accountability

Promote accountability among preparers of financial statements and those charged with governance.

Public Confidence

Maintain public confidence in the accounting profession and the integrity of capital markets.

The framework operates across five key dimensions: accounting standards, national law, professional bodies, stock exchange requirements, and regional/global bodies each explored in the cards that follow.

3.1.1 Accounting Standards

Accounting standards provide the technical rules and principles for recognising, measuring, presenting, and disclosing financial transactions and events in financial statements. They promote consistency and comparability of financial information across entities and reporting periods.

Global: IFRS / IAS

Issued by the International Accounting Standards Board (IASB) under the IFRS Foundation. IFRS and IAS are used internationally across more than 140 jurisdictions, providing a common global language for financial reporting.

United States: US GAAP / FASB

The Financial Accounting Standards Board (FASB) issues US Generally Accepted Accounting Principles (US GAAP), codified in the Accounting Standards Codification (ASC). US GAAP provides the principal financial reporting framework in the United States and differs in several respects from IFRS.



3.1.2 National Law

National legislation establishes the legal obligations for maintaining accounting records, preparing financial statements, auditing accounts, taxation, filing, and disclosure. Sector-specific laws may impose additional requirements on entities such as banks, insurance companies, and pension funds.

Kenya

The Companies Act establishes core obligations for corporate entities. The Banking Act and Central Bank of Kenya (CBK) requirements govern financial institutions. The Insurance Act imposes additional requirements on insurers. Other sector legislation applies to pension funds and capital market participants.

United States

A combination of federal and state laws governs financial reporting obligations. Federal laws regulate companies, banks, and insurance entities at the national level, while state laws impose additional jurisdiction-specific requirements. Securities laws administered by the SEC also interact closely with national law.

National law forms the legal backbone of the regulatory framework, ensuring that financial reporting obligations are enforceable and that non-compliance carries legal consequences.

3.1.3 Professional Bodies

Professional bodies develop and promote the accounting profession, establish professional standards and guidance, support education and continuing professional development (CPD), and protect the public interest. They establish ethical and professional requirements for members and can enforce professional discipline.



IFAC (Global)

The International Federation of Accountants sets global standards for the profession, including the International Ethics Standards Board for Accountants (IESBA) Code of Ethics and International Education Standards.



ICPAK (Kenya)

The Institute of Certified Public Accountants of Kenya regulates the accounting profession in Kenya, sets local professional standards, and oversees member conduct and CPD requirements.



AICPA & State Boards (US)

The American Institute of Certified Public Accountants (AICPA) sets auditing and professional standards for private-sector entities. State accountancy boards license CPAs and enforce professional conduct at the state level.

3.1.4 Stock Exchange Requirements

Stock-market regulators and exchanges impose financial reporting, disclosure, governance, listing, and continuing-obligation requirements on listed entities. These requirements provide investors with timely and reliable information for investment decisions.

Kenya

Capital Markets Authority (CMA) — the statutory regulator responsible for licensing, supervising, and developing Kenya's capital markets. It sets disclosure and governance requirements for listed entities.

Nairobi Securities Exchange (NSE) — imposes listing rules and continuing obligations on companies whose securities are traded on the exchange.

United States

Securities and Exchange Commission (SEC) — the primary federal regulator of securities markets, requiring listed companies to file periodic financial reports (e.g., 10-K, 10-Q) prepared in accordance with US GAAP.

NYSE and Nasdaq — major exchanges that impose additional listing standards, governance requirements, and disclosure obligations on their listed companies.

3.1.5 Regional & Global Bodies

Regional and international organizations influence accounting and financial reporting by developing regulatory principles, standards, guidance, policies, and cooperation frameworks. They promote harmonization, investor protection, financial stability, sustainable development, and cross-border comparability.

IOSCO

The International Organization of Securities Commissions promotes cooperation and the development of standards for securities regulators worldwide, supporting consistent investor protection across jurisdictions.

European Union (EU)

The EU develops and coordinates financial reporting and corporate regulatory requirements within its member states, including the mandatory adoption of IFRS for consolidated financial statements of EU-listed companies.

United Nations (UN)

The UN supports international development, transparency, and sustainability-related initiatives, including frameworks that influence corporate reporting notably through the work of UNCTAD's Intergovernmental Working Group of Experts on International Standards of Accounting and Reporting (ISAR).

Accounting Principles: Introduction

Section 3.2

Accounting principles are the foundational concepts and conventions that guide the preparation of financial statements. They provide a consistent basis for recognising, measuring, and presenting financial information, ensuring that financial statements are meaningful, comparable, and reliable.

The following twelve principles are examined in this section. They underpin both IFRS and national GAAP frameworks, though their precise application may vary depending on the applicable accounting standards.

01	02
Business Entity	Money Measurement
03	04
Materiality	Objectivity
05	06
Matching / Accruals	Historical Cost
01	02
Prudence	Realization
03	04
Consistency	Going Concern
05	06
Substance over Form	Duality

3.2.1 Business Entity & 3.2.2 Money Measurement

Business Entity

The business is treated as a separate legal and accounting entity from its owners, managers, and other stakeholders. Only transactions relating to the business are recorded in its accounting records.

Application: An owner's personal expenses such as household bills or personal travel are not recorded as business expenses, even if the owner pays them from business funds. The business and the individual are kept strictly separate in the accounting records.

Money Measurement

Only transactions and events that can be reliably measured in monetary terms are normally recorded in the accounting records. This limits what accounting can capture about an entity's activities.

Application: Purchases, sales, salaries, and assets are recorded in monetary amounts. Qualitative attributes such as employee morale, management reputation, or brand loyalty are generally not recorded directly because they cannot be reliably measured in money even though they may be highly valuable to the business.

3.2.3 Materiality & 3.2.4 Objectivity

Materiality

Information is material if its omission, misstatement, or obscuring could reasonably influence the decisions of users of financial statements. Materiality is a threshold concept it determines what must be separately recognised, presented, and disclosed.

Application: Material transactions and balances are separately recognised and disclosed in the financial statements. Immaterial items may be aggregated with other items or treated using simpler accounting procedures where appropriate, reducing the burden of disclosure without sacrificing decision-usefulness.

Objectivity

Accounting information should be based, as far as possible, on verifiable and unbiased evidence rather than personal opinion or unsupported estimates. This promotes reliability and reduces the risk of manipulation.

Application: Transactions are supported by source documents such as invoices, receipts, contracts, bank statements, and other reliable evidence. Where estimates are necessary for example, for depreciation or provisions they should be based on reasonable and supportable assumptions rather than subjective preferences.

3.2.5 Matching / Accruals Principle

Income and the expenses incurred to generate that income are recognised in the appropriate accounting period, rather than simply when cash is received or paid. This is the foundation of accrual accounting.

Accrual Accounting

Recognises income when it is earned and expenses when they are incurred, regardless of when cash is received or paid. This provides a more complete picture of an entity's financial performance, assets, and liabilities. Revenue earned in a period is recognised in that period, while related expenses including accruals and adjustments for prepayments are also recognised in the same period.

Accrual accounting is increasingly used in the public sector because it provides broader information on government assets, liabilities, obligations, and the full cost of public services.

Cash Accounting

Recognises transactions only when cash is actually received or paid. While simpler, it provides a less complete picture of financial performance and position.

Cash accounting is particularly relevant in the government and public sector because it provides a clear view of actual cash collected and spent, supports budgetary control and monitoring, facilitates accountability for the use of public funds, and helps government entities demonstrate whether expenditure has been made within authorised appropriations.

3.2.6 Historical Cost & 3.2.7 Prudence

Historical Cost

Assets and liabilities have traditionally been recorded based on their original transaction cost rather than their current market value. An asset purchased for Sh 1 million is initially recorded at Sh 1 million, subject to subsequent accounting such as depreciation, impairment, or other applicable measurement requirements.

Important Note: Modern IFRS contains several exceptions where assets or liabilities are subsequently measured at fair value or another current measurement basis for example, investment properties, financial instruments, and biological assets.

Prudence

Prudence involves exercising caution when making judgements under conditions of uncertainty, so that assets and income are not overstated and liabilities and expenses are not understated.

Application: Entities recognise appropriate impairment allowances, provisions, and expected credit losses when required by applicable accounting standards. However, prudence does not permit deliberate understatement of assets or income, or deliberate overstatement of liabilities or expenses such manipulation would undermine the neutrality of financial statements.

3.2.8 Realization & 3.2.9 Consistency

Realization

Income is recognised when it is earned and the relevant recognition criteria are satisfied, rather than simply when an order is received or cash is expected. This principle prevents premature recognition of revenue that has not yet been earned.

Application: Revenue from the sale of goods or provision of services is recognised when the applicable revenue-recognition requirements are satisfied, under IFRS 15, this means when (or as) performance obligations are satisfied and control of goods or services transfers to the customer rather than merely when a customer places an order or makes a payment in advance.

Consistency

Accounting policies and methods should be applied consistently from one period to another unless a change is justified by applicable accounting requirements or results in more relevant and reliable information.

Application: An entity should consistently apply its chosen accounting methods such as inventory costing methods (e.g., FIFO or weighted average) or depreciation methods (e.g., straight-line or reducing balance) so that financial results can be meaningfully compared between periods. Where a change in policy is made, it must be disclosed and, where required, applied retrospectively.

3.2.10 Going Concern & 3.2.11 Substance over Form

Going Concern

Financial statements are normally prepared on the assumption that the entity will continue operating for the foreseeable future rather than being forced to liquidate or cease trading. This assumption affects how assets and liabilities are valued and presented.

Application: Assets and liabilities are generally accounted for on the basis of continuing operations for example, non-current assets are not written down to liquidation values. Management must assess whether there are material uncertainties related to the entity's ability to continue as a going concern and disclose them where required. If the going concern basis is not appropriate, a different basis of preparation must be used and disclosed.

Substance over Form

Transactions and events should be accounted for according to their economic substance and financial reality, rather than merely their legal form. The legal structure of a transaction does not always reflect its true economic effect.

Application: Accountants consider who actually obtains the economic benefits, bears the risks, and controls the asset or obligation. For example, an arrangement that is legally structured as a lease or financing arrangement is accounted for based on its substance in accordance with the applicable accounting standard under IFRS 16, most leases are recognised on the lessee's balance sheet regardless of their legal form.

3.2.12 The Duality Principle

Every financial transaction has two aspects or effects, and both must be recorded in the accounting system. This is the foundation of double-entry bookkeeping one of the most enduring and important concepts in accounting.

The Core Rule

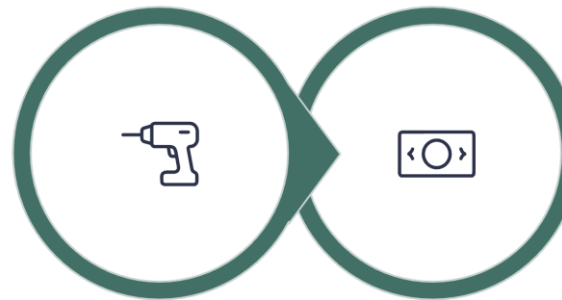
Every transaction is recorded with equal debit and credit entries. The total of all debits must always equal the total of all credits, maintaining the integrity of the accounting records.

The Accounting Equation

The duality principle underpins the fundamental accounting equation: $\text{Assets} = \text{Liabilities} + \text{Equity}$. Every transaction affects at least two elements of this equation while keeping it in balance.

Practical Example

When equipment is purchased for cash: Equipment (asset) increases, recorded as a debit. Cash (asset) decreases, recorded as a credit. Both sides of the equation are affected equally, maintaining balance.



Debit:
Equipment ↑

Credit: Cash ↓

Double-entry bookkeeping provides a built-in error-detection mechanism: if debits do not equal credits, an error has occurred somewhere in the recording process.

Qualities of Useful Financial Statements

Section 3.3 — IASB Conceptual Framework

The qualitative characteristics of useful financial information are the attributes that make financial information useful to existing and potential investors, lenders, and other creditors when making decisions about providing resources to an entity.

Under the **IASB Conceptual Framework for Financial Reporting**, the characteristics are divided into two categories:

Fundamental (Core) Characteristics

Relevance and Faithful Representation; these are the most critical qualities. Information that lacks either of these characteristics is not useful, regardless of how well it scores on other dimensions.

Enhancing Characteristics

Comparability, Verifiability, Timeliness, and Understandability; these qualities enhance the usefulness of information that is already relevant and faithfully represented.

The application of these characteristics is also subject to trade-offs between qualities and the overarching cost constraint.

Fundamental Quality 1: Relevance

Information is relevant if it is capable of making a difference to users' decisions. Relevance is the first and most fundamental qualitative characteristic information that cannot influence a decision has no value to users, regardless of how accurately it is presented.



Predictive Value

Information has predictive value if it can be used as an input to processes employed by users to predict future outcomes. For example, current revenue and profit figures help users forecast future financial performance and cash flows.



Confirmatory Value

Information has confirmatory value if it provides feedback about previous evaluations confirming or changing them. For example, actual results compared to prior forecasts help users assess the accuracy of their earlier predictions.



Materiality Link

Relevance is closely linked to materiality. Information is material and therefore relevant if its omission or misstatement could influence users' decisions. Materiality is an entity-specific aspect of relevance based on the nature or magnitude of the item.

Fundamental Quality 2: Faithful Representation

Information should represent the economic substance of the phenomenon it purports to represent. Faithful representation is the second core qualitative characteristic it ensures that financial information accurately depicts the underlying economic reality.

Complete

Financial statements should include all material information necessary to understand a transaction or event. Omitting significant information even if technically permitted can render financial statements misleading.

Neutral

Information should not be deliberately biased or misleading. Financial statements should not be slanted to achieve a particular outcome or to present the entity in an unduly favourable or unfavourable light.

Free from Error

There should be no errors or omissions in the description of the phenomenon and the process used to produce the reported information. This does not mean perfectly accurate in all respects estimates are acceptable if they are clearly described as such and are reasonable.

- ❏ Faithful representation requires that the substance of transactions is reported, not merely their legal form reinforcing the Substance over Form accounting principle.

Enhancing Quality 1: Comparability

Comparability enables users to identify similarities and differences between information about different entities or the same entity across different periods. It is one of the four enhancing qualitative characteristics under the IASB Conceptual Framework.

What Comparability Enables

Users can compare an entity's results across different years to identify trends in financial performance and position. They can also compare different entities using similar accounting information to make investment and lending decisions. Comparability is particularly important for users who analyse multiple entities or track performance over time.

Comparability vs. Consistency

Consistency supports comparability but is not the same thing as comparability. Consistency refers to using the same methods from period to period within a single entity. Comparability is the broader goal it can be achieved across entities even if they use different but equally acceptable methods, provided those methods are disclosed. Changing an accounting policy can sometimes improve comparability if the new policy is more widely used.

Enhancing Qualities 2–4: Verifiability, Timeliness & Understandability



Verifiability

Different knowledgeable and independent observers could reach a reasonable consensus that information faithfully represents the underlying economic phenomenon. Verifiability provides assurance that information is free from significant bias or error. Supporting documentation, independent calculations, physical verification, and audit procedures all help verify reported information. Verifiability can be direct (e.g., counting cash) or indirect (e.g., checking inputs to a model).



Timeliness

Information should be available to users in time to influence their decisions. Financial information that is reported too late loses much of its decision-usefulness, even if it is otherwise relevant and faithfully represented. Financial statements should be reported promptly for example, interim reports and annual reports should be published within reasonable timeframes after the reporting period ends.



Understandability

Information should be classified, characterised, and presented clearly and concisely so that knowledgeable users can understand it. Financial statements should use clear classifications, appropriate headings, summaries, and explanatory notes. Complex transactions should not be omitted merely because they are difficult to understand the solution is better presentation, not omission.

Trade-offs Between Qualitative Characteristics

Sometimes improving one qualitative characteristic may involve reducing another. Judgement is required to achieve an appropriate balance that maximises the overall usefulness of financial information.

Timeliness vs. Faithful Representation

Reporting quickly may mean that some information is based on estimates rather than confirmed figures, potentially reducing faithful representation. Waiting for complete information improves accuracy but reduces timeliness. The objective is to report as promptly as possible while maintaining an acceptable level of accuracy.

Relevance vs. Verifiability

Highly relevant forward-looking information, such as management forecasts may be difficult to verify independently. More verifiable historical cost information may be less relevant for predicting future performance. The preparer must balance the decision-usefulness of the information against the confidence users can place in it.

Comparability vs. Relevance

Maintaining consistency to support comparability may sometimes mean retaining an accounting policy that is less relevant than an alternative. Where a change in policy would provide more relevant information, the change should be made with appropriate disclosure even at some cost to comparability.

The overriding objective is to provide the most useful information within the circumstances, recognising that perfect scores on all characteristics simultaneously may not always be achievable.

The Cost Constraint

The benefits of providing financial information should justify the costs of collecting, processing, verifying, and communicating it. The cost constraint is a pervasive constraint on the information that can be provided by financial reporting it applies alongside, and limits the application of, all qualitative characteristics.

Costs of Providing Information

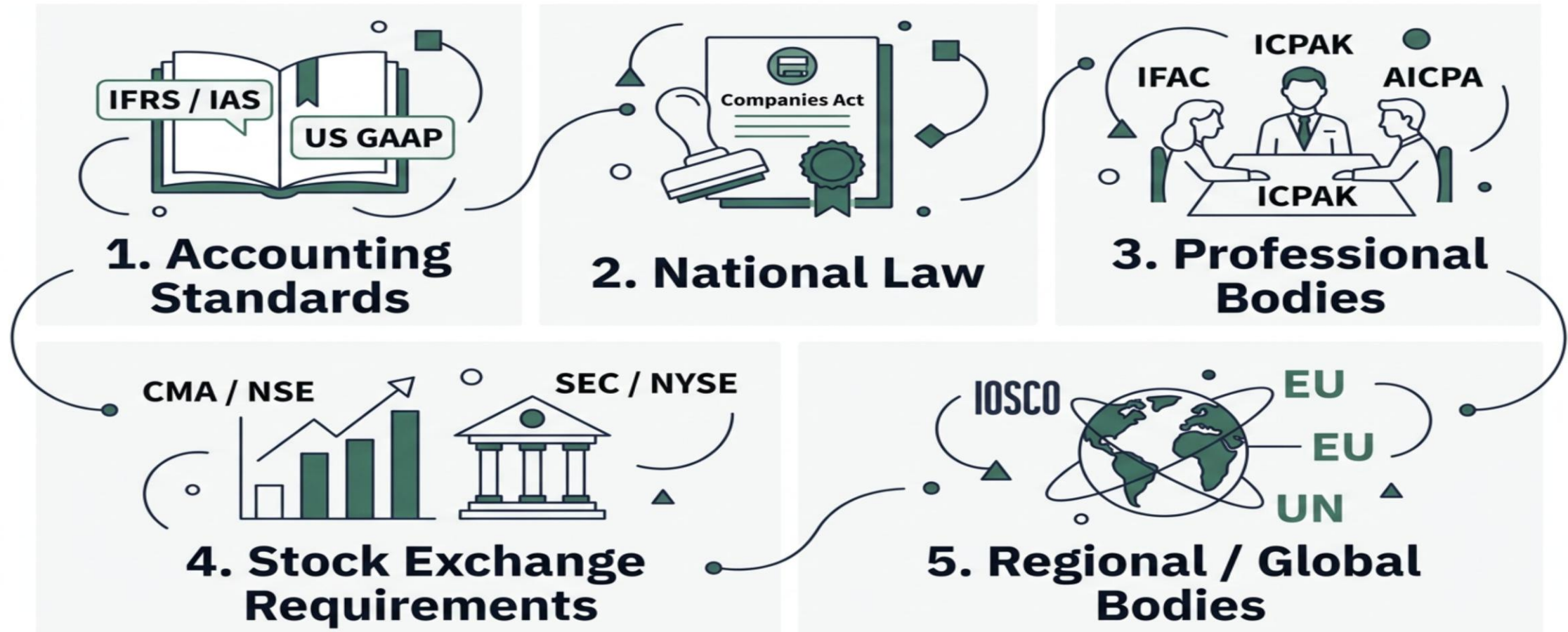
Costs include the direct costs of collecting and processing data, the costs of verifying information (including audit fees), the costs of communicating and disseminating information, and the potential costs of disclosing commercially sensitive information to competitors. These costs are borne primarily by the entity preparing the financial statements.

Benefits to Users

Benefits include better-informed investment and lending decisions, more efficient allocation of capital, reduced information asymmetry between management and investors, and enhanced accountability. An entity should consider whether the expected benefits to users justify the resources required to produce and disclose additional information. Where the cost exceeds the benefit, the information need not be provided.

- ❑ The cost constraint does not justify omitting material information it applies primarily to additional disclosures beyond what is required by applicable standards.

Summary: The Regulatory Framework



The five pillars of the regulatory framework work together to ensure that financial reporting is reliable, transparent, and comparable. No single pillar operates in isolation accounting standards are given legal force by national law, enforced by professional bodies, and monitored by stock exchange regulators and global bodies. Together, they protect investors, promote accountability, and maintain confidence in capital markets.

Summary: The Twelve Accounting Principles

Business Entity

Business separate from owners

Money Measurement

Only monetary items recorded

Materiality

Significant items disclosed

Objectivity

Evidence-based recording

Matching / Accruals

Income matched to expenses by period

Historical Cost

Recorded at original cost

Prudence

Caution under uncertainty

Realization

Income when criteria met

Consistency

Same methods period to period

Going Concern

Assumes continued operation

Substance over Form

Economic reality over legal form

Duality

Every transaction has two effects

These twelve principles collectively ensure that financial statements are prepared on a consistent, reliable, and economically meaningful basis. They are not rigid rules but guiding concepts their application requires professional judgement, particularly where principles interact or appear to conflict.

Key Takeaways

1 The Regulatory Framework is Multi-Layered

Accounting standards, national law, professional bodies, stock exchange requirements, and regional/global bodies all work together to govern financial reporting. No single layer is sufficient on its own.

2 Principles Provide the Foundation

The twelve accounting principles, from Business Entity to Duality, provide the conceptual foundation for preparing financial statements. They guide recognition, measurement, and presentation decisions across all accounting frameworks.

3 Quality Characteristics Define Usefulness

Relevance and Faithful Representation are the two fundamental qualities. Comparability, Verifiability, Timeliness, and Understandability enhance usefulness. All are subject to trade-offs and the cost constraint.

4 Judgement is Central to Accounting

Applying principles and qualitative characteristics requires professional judgement. The goal is always to provide financial information that is as useful as possible to investors, lenders, and other users, within the constraints of cost and practicality.